

Policy for the Integration of Sustainability Risk into Investment Decision

Tresmares Group

Tresmares Private Equity, S.G.E.I.C.,S.A

Tresmares Direct Lending, S.G.E.I.C.,S.A.

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1. Introduction

1.1. Objective of the policy

This document describes the policy for integrating risks associated with sustainability factors into the investment process of **Tresmares Private Equity, S.G.E.I.C. & Tresmares Direct Lending S.G.E.I.C.** (hereinafter the “Tresmares” or the “Company”).

At Tresmares we seek to conduct our activities with the highest standards of business conduct, and we actively promote the values of diversity, integrity, professionalism, respect and responsibility.

At Tresmares we aim to support leading small and medium enterprises through their development. These companies have a visible direct impact in the economy and in the society and we strongly believe that companies that actively identify and mitigate potential ESG risks and capture and maximize on ESG opportunities will outperform in the medium/long-term. Accordingly, we include ESG criteria in our investment decision-making process.

In our view “Sustainability factors” relate to environmental, social and governance (hereinafter “ESG”) matters; and “sustainability” risk means any ESG event or condition that, if it occurs, could cause an actual or potential material negative impact on the value of the investment (art 2, paragraph 22 of the Regulation (EU) 2019/2088 of the European Parliament and of the Council of November 27, 2019, on the disclosure of information related to sustainability in the financial services sector) (“the SFDR Regulation”).

The purpose of this Policy is to establish the basic principles and the general framework of action for the management of responsible and sustainable practices covering both the Company and portfolio investee companies (hereinafter “Investees”). As such, the scope of this policy covers the Company’s investment decision-making processes, the provision of individual portfolio management services. In this regard, alignment is sought between the policies of the Company, its investors and its Investees, in such a way that there is shared adherence to principles consistent with those established in this document.

Additionally, the Company’s Responsible Investing Policy is compliant with the provisions of the United Nations Sustainable Development Goals, the 2030 Agenda for Sustainable Development, its transposition into national legislation and applicable Spanish regulations:

- Directive 2011/61/EU of the European Parliament and of the Council, of June 8, 2011, which coordinates the legal, regulatory and administrative provisions relating to alternative investment fund managers.
- Regulation (EU) 2019/2088 of the European Parliament and of the Council, of November 27, 2019, on the disclosure of information related to the sustainability of the financial services sector.
- Regulation (EU) 2020/852 of the European Parliament and of the Council of June 18, 2020, on the establishment of a framework to facilitate sustainable investments and amending Regulation (EU) 2019/2088.

- Directives 2009/65/CE, 2009/138/CE, 2011/61/EU, 2013/36/EU, 2014/65/EU, 2016/97/EU, 2016/2341/EU, and Regulation No. 346/201 or in the delegated acts and in the regulatory technical standards adopted in accordance with them, in relation to the requirement to act with adequate due diligence before making an investment; the definition of sustainability risk as an environmental, social or governance event or condition which, if it occurs, could have a material negative impact on the value of the investment; and the integration of such risks in investment decisions.
- Law 22/2014, of November 12, which regulates venture capital entities, other closed-ended collective investment entities, and the management companies of closed-ended collective investment entities.
- Communiqué from the CNMV, of February 18, 2021, on the forthcoming application of Regulation 2019/2088 on the disclosure of information related to the sustainability of the financial services sector.
- Regulation (EU) 2022/1288 of 6 April 2022 supplementing Regulation (EU) 2019/2088 of the European Parliament and of the Council with regard to regulatory technical standards specifying the details of the content and presentation of the information in relation to the principle of 'do no significant harm', specifying the content, methodologies and presentation of information in relation to sustainability indicators and adverse sustainability impacts, and the content and presentation of the information in relation to the promotion of environmental or social characteristics and sustainable investment objectives in pre-contractual documents, on websites and in periodic reports

1.2. Principle of proportionality

Taking into account the characteristics of each company and the profile of its assets, as well as ESG information availability, the Company makes a responsible assessment of the necessary resources that allow increasing the accuracy in the calculation of ESG risks incurred, in the same or a similar way it does for the measurement of financial risks.

1.3. Responsibility for the approval, maintenance and updating of the current policy.

The Company's Board of Directors is responsible for approving this policy; its future updates; and appropriate compliance with it within both the Company and, to the extent practicable, the Investees (hereinafter, the "Entities").

This is a live document, and, therefore, it will be updated and / or modified at least in the following cases:

- a) When legal or regulatory changes occur that affect the procedures described;
- b) When Company or Investee internal changes occur that affect the procedures described;
- c) When, at the proposal of the Internal Control / Audit Unit or the Regulatory Compliance

Unit, the Board of Directors approves the inclusion of new controls or modifications of existing ones; and

- d) At the proposal of those responsible for ESG within the entity, auditors, both internal and external, and inspectors of regulatory bodies.

The different versions of this document are listed in the Version History box that appears at the beginning of this document.

It is the Regulatory Compliance Unit responsibility to verify and ensure correct compliance with this policy, with monitoring support from of the Internal Control / Audit Unit.

1.4. Recipients and publication of the policy on integration of the sustainability risk into investment decisions

This document is available to all employees and managers of the Company. The Company will update the published version whenever there are changes or modifications to this document and after its approval by the Board of Directors.

Company employees must be permanently informed of incidents that occur in relation to policy compliance and must communicate them to the Board of Directors or to the person designated by the Directors, in order that the necessary corrective measures are adopted, and, where appropriate, modifications to procedures are proposed. In any event, employees will notify the Board of Directors of serious situations that have occurred before taking any measure to correct them.

This policy, as well as its successive updates, is published on the Company's website [Tresmares Capital](#) in accordance with applicable legal provisions.

2. Foundations of our responsible Investment Policy

2.1. Foundations

The following are summary descriptions of ESG sustainability factors and subsequently further information is presented in section 3.2 relating to the different phases for the integration of sustainability risks into the investment process:

The environmental factor (E) involves making decisions based on how the activities of the Investees affect the environment. It focuses on environmental reporting and the environmental impact of companies, as well as on the efforts made by companies to reduce levels of pollution or carbon emissions. It encompasses waste management, water management, and the use of environmental and other related resources.

The social factor (S) involves considering the impact on the community of company' activities undertaken, for example, in terms of diversity, administration, human rights or health care, as well as the links established with the community (corporate citizenship and philanthropic initiatives).

The governance factor (G) studies the impact that company shareholders and management have: this is based on issues such as the structure of the boards of directors; the remuneration of directors; the rights of shareholders, transparency, and the relationship between shareholders and management; employee matters, anti-corruption; and anti-bribery matters.

According to the Definition of the European Community, sustainable finance includes an important green financing factor whose objective is to boost economic growth by reducing pressures on the environment; combating greenhouse gases and pollution; and minimizing waste and improving efficiency in the use of resources.

Sustainable finance also includes raising awareness and greater transparency about the risks that could affect the sustainability of the financial system and the need for business and financial actors to mitigate such risks through appropriate governance. It incorporates concepts of a social nature (diversity, inclusion, non-discrimination on the basis of gender, ethnicity, religion, sexual orientation, etc.) and governance (diversity on boards of directors, promotion of workers' health and well-being, fair working conditions, etc.).

2.1. United Nations Principles of Responsible Investment

Tresmares is a signatory of the UN Principle of Responsible Investment since 2023.

As institutional investors, we have a duty to act in the best long-term interests of our beneficiaries. In this fiduciary role, we believe that environmental, social, and corporate governance (ESG) issues can affect the performance of investment portfolios (to varying degrees across companies, sectors, regions, asset classes and through time).

We also recognise that applying these Principles may better align investors with broader objectives of society. Therefore, where consistent with our fiduciary responsibilities, we commit to the following:

Principle 1: We will incorporate ESG issues into investment analysis and decision-making processes.

Principle 2: We will be active owners and incorporate ESG issues into our ownership policies and practices.

Principle 3: We will seek appropriate disclosure on ESG issues by the entities in which we invest.

Principle 4: We will promote acceptance and implementation of the Principles within the investment industry.

Principle 5: We will work together to enhance our effectiveness in implementing the Principles.

Principle 6: We will each report on our activities and progress towards implementing the Principles.

The Principles for Responsible Investment were developed by an international group of institutional investors reflecting the increasing relevance of environmental, social and corporate governance issues to investment practices. The process was convened by the

United Nations Secretary-General.

In signing the Principles, we as investors publicly commit to adopt and implement them, where consistent with our fiduciary responsibilities. We also commit to evaluate the effectiveness and improve the content of the Principles over time. We believe this will improve our ability to meet commitments to beneficiaries as well as better align our investment activities with the broader interests of society.

3. Policy for the integration of sustainability risk into investment decisions

3.1. Structure of ESG Governance

ESG issues are present throughout the organization and in order to provide an appropriate response to the commitments assumed as responsible investors and to serve as the organisational lead for ESG, the Company's Board of Directors have established an ESG Committee and a Regulatory Compliance Unit to undertake this task as optimally as possible.

The ESG Committee coordinates the efforts of the Company in its execution of this policy; coordinates and supervises the actions undertaken in the Company in ESG matters; and, in addition, is responsible for:

- Developing and updating the risk integration policy;
- Ensuring and defining the implementation strategy of new practices;
- Monitoring the implementation of processes and the analysis of improvements; and
- Addressing those issues related to ESG factors.

3.2. The integration of sustainability risk into the investment Process

The Company pursues the integration of sustainability risks into its investment and decision-making processes, with the goal of generating positive impacts on society and the environment. This integration is an ambitious, complex and continuously evolving task as the applicable regulation is still very incipient, and the task affects multiple departments/areas which must be cohesive in order to achieve the objective of paragraph 1 of this policy.

Below, the different phases of the investment process are outlined:

I. Screening

Before making the investment decision, the Company filters potential investments, excluding from its investment scope ethically questionable activities, as being contrary to the Company's principles and involving an undesirable reputational risk, including the following:

- Illegal activities: companies that engage in activities that are illegal under the laws or regulations of their home jurisdiction;
- Tobacco, cannabis and distilled alcoholic beverages: the production and commercialisation of tobacco, cannabis and distilled alcoholic beverages as well as related products;

- Weapons and ammunition: companies that are engaged in the production and trading of weapons and ammunition of any type;
- Casinos and gambling: casinos or gambling related businesses;
- Pornography: companies that are engaged in pornography related activities;
- Energy from coal or nuclear sources: companies that are engaged in the production of energy from coal or nuclear sources;
- Oil, gas, asbestos or new minerals: companies that are engaged in the extraction of oil, gas, asbestos or new minerals; and
- Illegal data access: companies that develop or commercialize software that can be used to access or download data illegally.

Human cloning and genetically modified organisms: companies that are engaged in human cloning with reproduction, research or therapeutic purposes, genetically modified organisms or creation of human embryos to obtain stem cells.

We review this list on a regular basis to include any potential activities that may be excluded.

II. Due Diligence process

As part of our due diligence process, we seek to identify material ESG risks and potential adverse impacts as well as opportunities for ESG improvement. As part of this process, we collaborate with the management of the companies we invest in identifying these and reviewing these matters and integrate the relevant conclusion in the investment memos that are presented to our Investment Committee.

In the same way that in the investment selection process strictly financial risk factors are considered and metrics are weighted differently depending on the company, the sector, etc., the consideration of sustainability risks in ESG factors, such as those above, are appropriately and flexibly undertaken in the Company's investment process in accordance with the context. Therefore, ESG factors and risks are considered as an additional measure providing greater information about non-financial risks.

III. Investment Decision

We are committed to take responsible investment decisions and include ESG matters in our decision-making process. Accordingly, the relevant conclusions of the ESG due diligence work performed with the target companies are shared with the Investment Committee and taken into consideration in the final investment decision.

IV. Reporting and Monitoring

As part of the reporting and monitoring activities of our portfolio companies, we seek to receive non-financial data from the companies we invest in. To the extent possible, we seek to support the management teams of these companies in implementing initiatives that aim to mitigate ESG risks and take-action on ESG opportunities.

V. Exits

In the case of our direct lending activity, our position as lenders limits our involvement in the preparation of the exit process.

In the case of our private equity activity, as part of the preparation of the exit process we may consider including an ESG analysis as part of the vendor due diligence process.

4. Transparency and communication (UNPRI)

The Company has communicated its commitment to transparency by signing the United Nations' Principles for Responsible Investment (UN PRI) and also by making a commitment to its investors to regularly inform them of progress made in ESG.

This Company's commitment is demonstrated to investors and society at large by the annual publication of its UN PRI Transparency Report.

5. Responsibility to society

The Company acts responsibly, at both the business and individual level, through the people who compose it. This responsibility is exercised complying with the highest ethical standards and, as individuals, ensuring that all our employees and collaborators act with integrity and conscientiousness in our shared work. Therefore, in general terms the Company's people commit to:

- Consider the factors established in this in the analysis of the Investee and potential Investees and of the clients' preferences.
- Ensure that Company employees involved in the provision of the investment services indicated in the previous section are knowledgeable about this policy and, where appropriate, the exclusion criteria.

6. Principal Adverse Impacts (PAIs)

Principal Adverse Impacts (PAIs) are understood as those impacts of investment decisions and advice that result in negative effects on sustainability factors. According to the SFDR Regulation on disclosure of relevant information, Article 4(3), the declaration and publication of PAIs is mandatory for financial market participants who exceed on their balance sheet dates the criterion of an average number of 500 employees during the financial year.

Considering the size, nature and scale of the Company's activities, as well as the robustness of the procedures for integrating sustainability risks into investment decisions, the Company expects to consider the principal adverse impacts on sustainability factors despite having declared that currently it does not do so.

However, it is expected that due diligence policies will be developed in relation to such adverse impacts that may arise from investment decisions in relation to sustainability factors. These

policies may develop in accordance with the Company's development of ESG risk management, which will enable the establishment of firm methodologies for such purposes.

7. Remuneration Policy in Relation to the integration of sustainability risk

The Company's Remuneration Policy considers the due observance of the Policy for the Integration of Sustainability Risks in Investment Decisions as a criteria in determining the remuneration of relevant employees.

To this end, in compliance with Article 5.1 of Regulation (EU) 2019/2088, the Company publishes on its website how its Remuneration Policy is consistent with the effective detection and management of sustainability risks according to the ESG factors.

8. Publication of the policy and ESG Documentation

The Company, in compliance with Article 3 of Regulation (EU) 2019/2088, publishes this policy on its website emphasizing its management of sustainability risks and the need to develop the policy in accordance with anticipated future regulatory changes.

The Company as a participant in the financial markets, in compliance with Art.4 of Regulation (EU) 2019/2088, describes on its website why the Company's consideration of the principal adverse sustainability impacts of investment decisions is deferred pending the finalisation of the EU's relevant technical standards.

In addition, the Company publishes the following:

- a) Information regarding the remuneration policy, as mentioned in the previous point.
- b) Pre-contractual information (Art 9)
- c) Promotion on websites and advertising communications (art 10 and 13)
- d) Periodic reports (art. 11)